

ACME CORP: PAID TIME OFF AND LEAVE POLICY

Effective Date: March 1, 2026

1. Purpose and Scope

This policy defines how paid time off (PTO), sick leave, and extended leave accrue, are requested, and are approved at Acme Corp. It applies to all full-time employees; part-time employees accrue PTO on a prorated basis under Section 2.

2. PTO Accrual

Full-time employees accrue 15 PTO days per year during their first 3 years of employment, increasing to 20 days per year starting in year 4, and 25 days per year starting in year 7. PTO accrues monthly and unused days roll over up to a maximum of 10 days into the following calendar year; any balance above 10 days is forfeited on December 31st unless local law requires payout.

3. Requesting Time Off

PTO requests must be submitted through the HR portal at least 5 business days in advance for single days and 3 weeks in advance for requests of 5 or more consecutive days. Manager approval is required for all requests. Blackout periods may be declared by department leadership during peak business cycles, during which new PTO requests will not be approved except for emergencies.

4. Sick Leave

Employees receive 8 paid sick days per calendar year, separate from PTO. Sick leave does not roll over and resets on January 1st. A doctor's note is required for sick leave absences exceeding 3 consecutive days. Sick leave may also be used to care for an immediate family member under the same documentation requirements.

5. Extended and Parental Leave

Employees who have completed 12 months of continuous service are eligible for up to 12 weeks of job-protected parental leave, paid at 100% of base salary for the first 6 weeks and 60% of base salary for the remaining 6 weeks. Requests for extended leave must be submitted to HR at least 30 days before the anticipated start date, except in cases of medical emergency.

6. Unused PTO at Separation

Upon voluntary or involuntary separation, employees are paid out for any accrued and unused PTO up to the 10-day rollover cap, at their final base salary rate. Sick leave is not paid out upon separation under any circumstances.